Between September 1987 and March 1989—that is, before, during, and after Rajiv Gandhi's visit to Beijing—Tibet was rocked by a series of pro-independence protests, which proved that Tibetans, despite the region's economic development, had not become any more pro-Chinese than they had been in 1959. Demonstrators were killed and injured during the riots, and all foreigners, including journalists, were expelled from Tibet.

The bloodiest incident took place in March 1989. Officially, only about a dozen people were killed when Chinese security forces clamped down on the protesters. But a former Chinese journalist, who was in Tibet during the unrest as a representative of the Chinese Journalists' Association, told reporters after he had got out of China and settled in France that he had a copy of a report from the Chinese Public Security Bureau and the Tibet Military District Command, dated 11 March 1989, stating that '387 Lhasa citizens have been killed … the majority by bullets …721 were injured, 2,100 have been arrested or detained … 354 have disappeared … 82 religious people have been killed, 37 injured, 650 arrested or detained'.[42]

Concern over Tibetans and the activities of the Dalai Lama and his followers in exile is another reason, apart from geopolitical interests in Myanmar's borderlands, why China retains contacts with India's northeastern rebels: it is a means of putting pressure on India, and it gives China some leverage on other bilateral issues, including the sharing of water resources. The Chinese may not admit this, but the very fact that they are permitting Paresh Baruah and his comrades access to China, and to its not-so-black arms bazaar, is enough to keep India on edge. Chinese authorities, much to the annoyance of Indians, also continue to give stapled visas to residents of Arunachal Pradesh when they want to visit China.

On the other hand, rapid economic development in both countries has created an entirely new dimension to Sino-Indian relations. Trade between the two countries is booming. China has become India's largest trading partner and they co-operate as members of the trading association BRICS (Brazil, Russia, India, China, South Africa). Bilateral trade between India and China stood at US$70.73 billion in 2015–16. Major imports from China include telecom instruments, computer hardware and peripherals, fertilizers, electronic components, consumer goods, chemicals, and raw materials for drugs, while exports to China consist of ores, iron and steel, tin, raw hides, leather, plastics, and cotton. But it is a trade where China is the main beneficiary. India's trade deficit with China rose to US$52.68